

DIVERSIFICATION

'Diversification' is pretty well known and widely understood. We will spread our trades instead of having a concentrated trading portfolio. Few people concentrate their entire portfolio into a few trades. We have already learnt to spread out risk and positions using the 1-percent rule. However, we can further diversify these trades.

We will first diversify stocks across different industries. Historically, it has been observed that stocks move in sectoral movements. On days of advance, most shares of a given sector advance and on days of decline, most stocks fall. So avoid concentrating all positions in one industry.

Next, we can also differentiate between different asset classes like equities, currencies and commodities. Such diversification increases our chances that a decrease in one asset class's value might be partially offset by another class's activities. The downside of diversification is that our profit is getting restricted because we are spreading our positions instead of allocating more resources to select trades.

